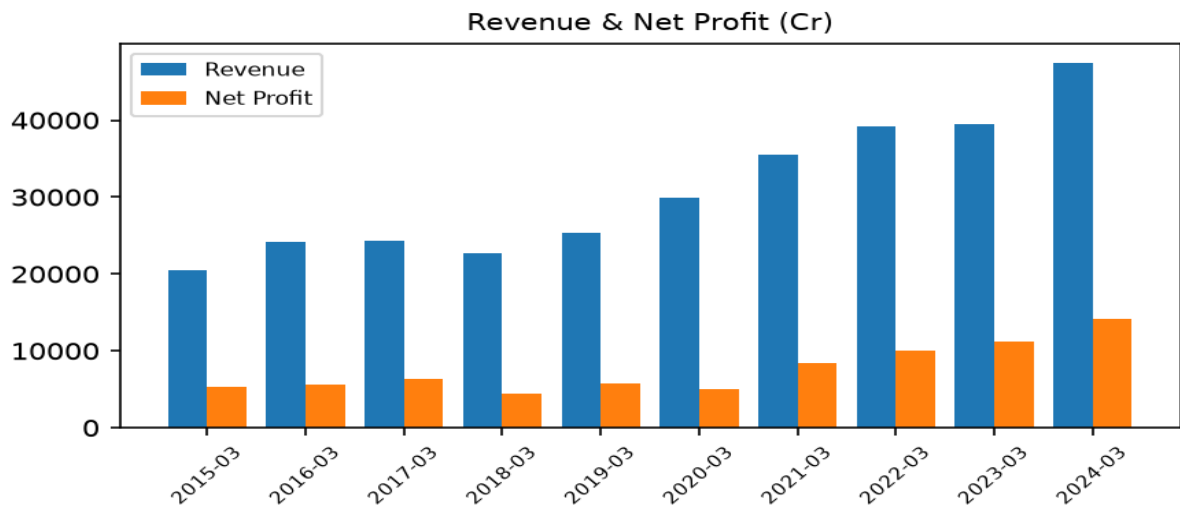


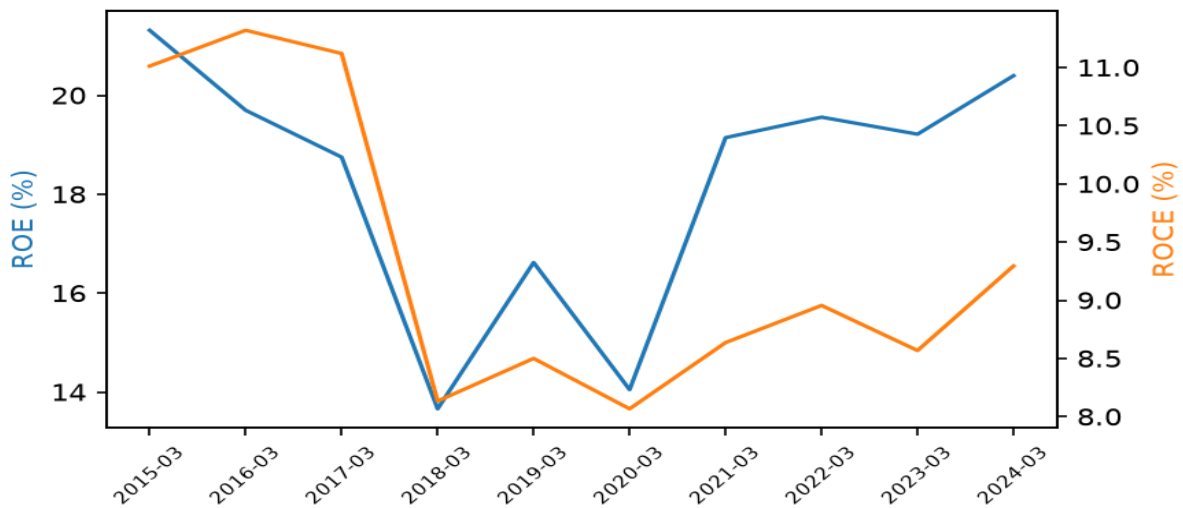
REC Ltd (RECLTD)

ROE 20.4%	ROCE 9.3%	Net Profit Margin 29.8%
D/E 6.4	Revenue CAGR 5yr 13.3%	Free Cash Flow (Cr) -59554.0

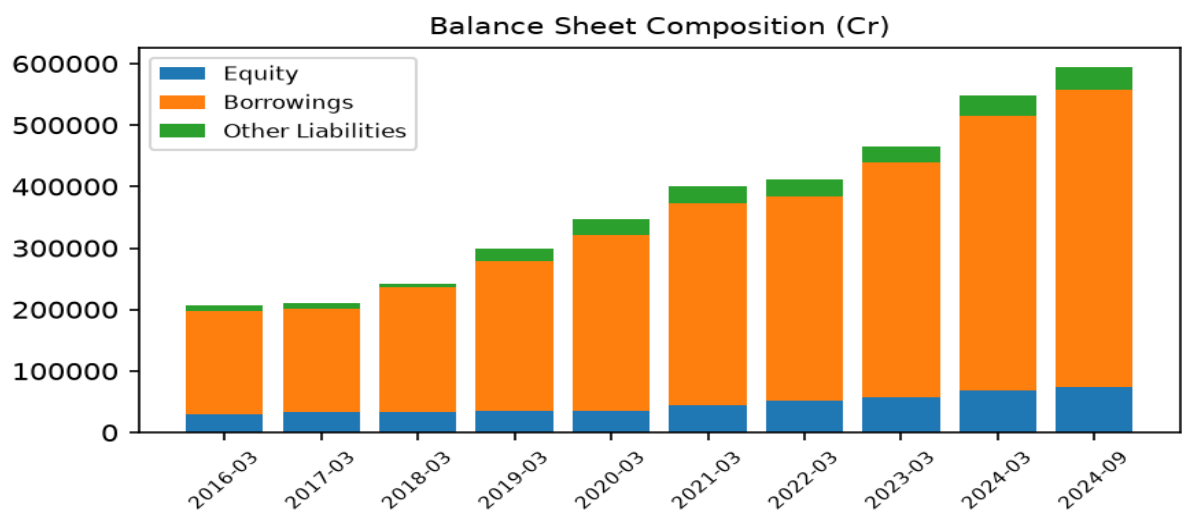
Revenue & Net Profit (10yr)



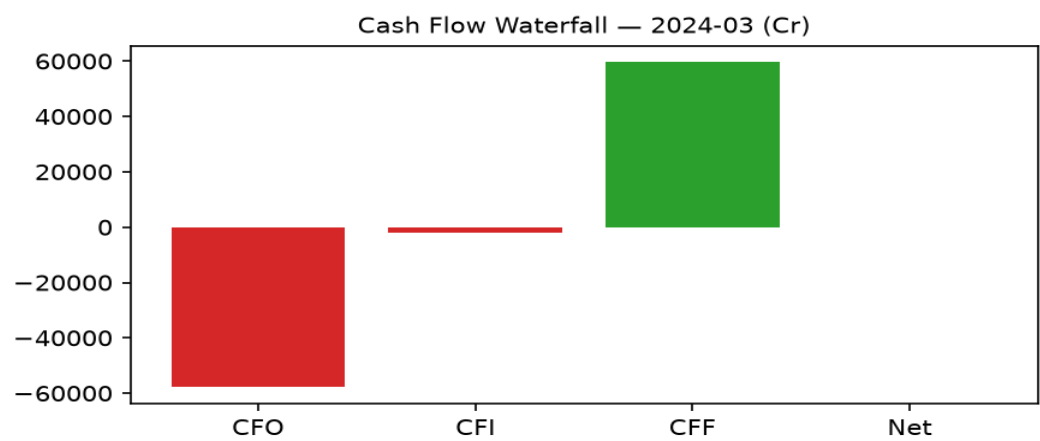
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Return on equity of 20.4% reflects the company's baseline capital efficiency.

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Debt-to-equity of 6.42 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Growth Funded by Debt